FIEM INDUSTRIES LTD

NSE: FIEMIND | BSE: 532768 | Auto components – two-wheeler lighting and mirrors | Initiation of coverage

Data as of 19 October 2026 close (CMP ₹1,824) | Report date 20 October 2026 | Consolidated figures, ₹ crore, FY ends March, unless stated

ACCUMULATE	₹1,824	₹2,100	+15%
Research opinion (our scale)	CMP, 19 Oct 2026	12M target (our estimate)	Implied upside

Fiem makes the headlights, tail-lamps, indicators and mirrors that go on two-wheelers. About 59% of its automotive sales go to just two customers (TVS and Honda). The business is debt-free, earns a 29% ROCE and has grown sales at 18% a year for five years. The share price has fallen about 32% from its 52-week high after the Q1 FY27 result (12 Aug 2026), and promoters have cut their stake from 66.6% to 54.5% since Dec 2023. Our blended value is ₹2,099 a share; the cash-flow (DCF) leg alone gives ₹1,939, which is close to the market price, so most of the upside rests on the P/E leg. Moderate-conviction view; scorecard 75/100.

Key data		
Market cap	₹4,786 crore	Screener, 19 Oct 2026
52-week high / low	₹2,675 / ₹1,696	Screener
P/E (trailing) | EV/EBITDA	18.2x | 10.6x	Screener
P/B | dividend yield	3.95x | 2.19%	Screener (book value ₹462)
ROCE | ROE (FY26)	29.3% | 22.6%	Screener
Debt / equity | interest cover	0.05 | 101x	Screener
Promoter holding | pledge	54.5% | nil	Screener, Sep-26 quarter
FY26 sales | EBITDA | PAT	₹2,816 | ₹396 | ₹256 crore	Screener export
Q1 FY27 sales | PAT (consolidated)	₹775 | ₹64.9 crore	Screener export; filing 12 Aug 2026
Beta (5Y)	0.49 (we use 1.0)	stockanalysis.com, 4 Sep 2026
Avg daily NSE volume (22 May–3 Aug)	49,351 shares	stockanalysis.com

Virtual portfolio for educational purposes only. Not investment advice. The author is not a SEBI-registered research analyst or investment adviser. Verify all data against primary sources before relying on it.

How to read this report: every table and chart names its source. Numbers marked "our estimate" or "our judgement" are our own assumptions, not company guidance. Items we could not verify are listed in the data-gaps table (Appendix) instead of being guessed.

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Sources used in this report: (1) the Drive folder "FIEM INDUSTRIES LTD RESEARCH RESOURCES": the Q1 FY27 results filing (12 Aug 2026, 9 pages), the Screener.in Excel export (10-year P&L, balance sheet, cash flow, 10 quarters), and three Screener screenshots (key metrics, shareholding pattern, peer comparison); (2) web pages read in this session (listed in the Appendix). No annual report, concall transcript, investor presentation or credit-rating report was in the folder; where we rely on management commentary it comes from secondary summaries of the Q1 FY27 call and is labelled that way.

2 Executive summary

Thesis in five points

- Quality compounder at a lower multiple than its history of delivery suggests: sales CAGR 18.2% (5y), PAT CAGR 22.3% (3y), ROCE 29%, no financial debt, 41% dividend payout in FY26. Trailing P/E is 18.2x against a FY22–FY26 year-end average of 16.6x (Screener).
- LED and EV content is the growth lever: LED was 47.5% of automotive sales in FY26 and 48.2% in Q1 FY27; management targets a 70% LED share of lighting in 24–30 months (from 63% now) and cites new wins with Ather, River, Royal Enfield EV and Hero Vida (secondary summary of the Q1 call).
- Q1 FY27 was good on growth (consolidated sales +17.7%, standalone +18.6%) but profit growth lagged: EBITDA margin was 13.4% on revenue vs 14.5% in Q4 FY26 as employee cost rose 30% YoY (Haryana wage revision) and material cost rose 66 bp of revenue.
- Valuation gives limited margin of safety: our DCF (WACC 12.6%, terminal growth 5%) gives ₹1,757 a share today against ₹1,824; the market already prices a ~14.4% steady EBITDA margin, which is above the 14% management guides. Upside to our ₹2,100 target needs the P/E to hold at 18x on FY28E EPS of ₹125.
- Governance and concentration are the reasons not to be more positive: promoters sold 4.45% of equity in September 2025 (66.6% → 54.5% since Dec 2023), TVS and Honda are about 59% of automotive sales, and debtor days rose from 37 to 50 in FY26.

Key risks (detail in section 13)

- Customer concentration: top five customers were 86.7% of FY26 automotive sales; TVS alone 32.7%.
- Cost pass-through lag: management says raw-material increases are passed on with a lag of about two quarters; wages in Haryana (two plants) rose ~35% and the Q1 employee-cost run-rate is expected to persist for three more quarters.
- Receivables and working capital: debtors ₹388 crore (50 days) vs ₹242 crore (37 days); CFO was only 63% of PAT in FY26.
- Insurance claims outstanding on two fires (Unit 7 in 2023, Unit 8 in Aug 2025): ₹82.3 crore claim filed for Unit 8; settlement and accounting impact not final.
- Four-wheeler ramp has slipped about two quarters; management itself calls it a long-term effort.

Valuation verdict

Method	Value per share (12M)	vs CMP
DCF, base case (WACC 12.6%, g 5%)	₹1,939	+6%
P/E leg: 18x FY28E EPS ₹125.5	₹2,260	+24%
Blend 50:50 (base)	₹2,099	+15%
Bear / bull blend	₹1,581 / ₹2,480	-13% / +36%
Probability-weighted (25/50/25, our judgement)	₹2,065	+13%
12M target (base blend, rounded)	**₹2,100**	**+15%**

Source: our model (assumptions in section 11–12). Rating scale (our own): Accumulate = expected 12M upside of about 10–20% with identifiable risks; Hold = −10% to +10%; Avoid = worse than −10%. This is a research opinion for a virtual portfolio, not a recommendation to trade.

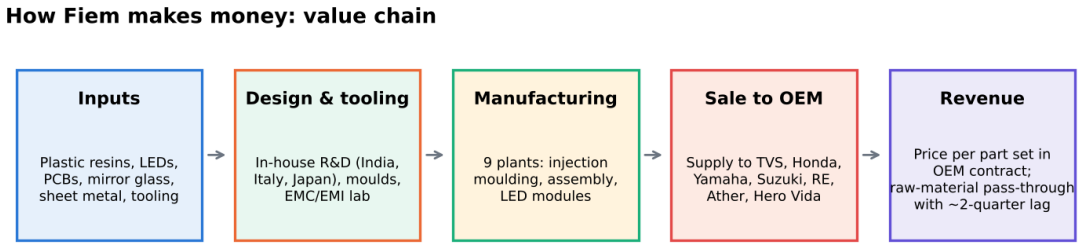
What would change our mind

- More upgrade-worthy: two consecutive quarters with EBITDA margin back at 14%+ and debtor days under 45; a confirmed four-wheeler order with volume numbers; promoters stop selling.
- Downgrade-worthy: a second round of promoter selling, loss or deferral of a TVS or Honda platform, debtor days above 55, or EBITDA margin below 13% for two quarters.

3 Business model explained (read this first)

In one paragraph

Every motorcycle and scooter has a headlamp, tail-lamp, indicators and mirrors. Fiem designs and manufactures those parts and sells them to the companies that build the vehicles (TVS, Honda, Yamaha, Suzuki, Royal Enfield and newer electric-scooter makers such as Ather and Hero Vida). Fiem does not sell to ordinary consumers: about 94% of its automotive sales are to vehicle makers, about 5% to the replacement market and about 1–2% exports (company presentations as reported by TradeBrains/Multibagg). It is a "tier-1 supplier": it supplies directly to the vehicle maker, and when a maker launches a new model Fiem competes, with a few other suppliers, to be chosen for the lighting on that model.



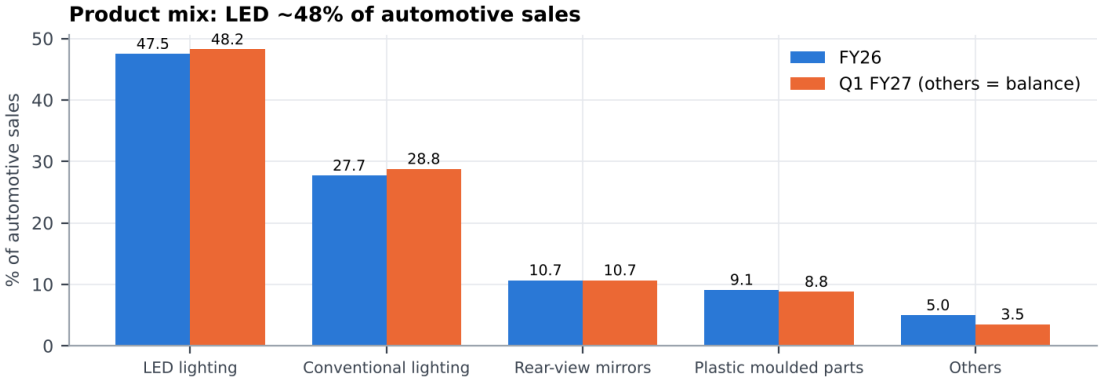
Source: our synthesis of company disclosures reported by TradeBrains / Multibagg (Drive filing + web); illustrative, not company-published

Figure 1: Fiem value chain – from inputs to revenue (illustrative; our synthesis of disclosures).

How the money is made, step by step

- Input: Fiem buys plastic resin, LEDs and electronic components, mirror glass and sheet metal. Raw materials cost 59–63% of sales in every one of the last ten years (Screener), so what Fiem charges its customers must follow what these inputs cost.
- Design and tooling: for each new vehicle model Fiem designs the lamp, builds the moulds (tools) and tests it. It has R&D capability in India, Italy and Japan and an in-house EMC/EMI electronics test lab in Gurugram (stockanalysis.com / TradeBrains). Winning the design is what locks in the supply for the life of the model.
- Manufacturing: nine manufacturing facilities (TradeBrains, Q1 FY27 summary). Plants are placed near customers; the Q1 call says most FY27 capex (about ₹100 crore) is going to Hosur in South India to serve TVS and EV makers.
- Sale: parts are delivered to the customer's assembly plants in line with production schedules. Each customer pays within its credit terms; Fiem's debtors were 50 days of sales at March 2026.
- Price: the price of each part is agreed with the customer. According to management, higher raw-material costs are recovered from customers with a lag of about two quarters, which is why margins dip when inputs rise (as in Q1 FY27) and recover later.

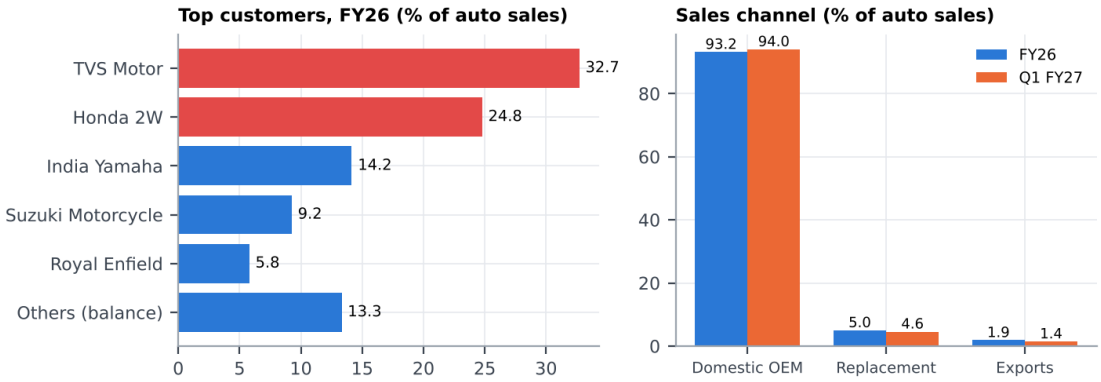
What Fiem sells and to whom



Source: company presentations as reported by Multibagg.ai / TradeBrains (secondary)

Figure 2: Product mix as % of automotive sales. LED lighting is now the largest line.

LED lamps carry a higher value per vehicle than older halogen ("conventional") bulbs, so a rising LED share lifts revenue per vehicle even if volumes are flat. LED share of Fiem's automotive lighting was 63% by value and has been flat for seven quarters because entry-level motorcycles that still use halogen are selling well (Q1 FY27 call summary). Electric two-wheelers use more LED content; EVs were above 9% of two-wheeler volumes in Q1 FY27 against about 6% a year earlier (same source).



Source: company investor presentations as reported by Multibagg.ai / TradeBrains (secondary; not verified against the primary decks)

Figure 3: Customer concentration and sales channel.

Customer concentration is the key feature of the model. TVS and Honda were 33.7% and 25.2% of automotive revenue in Q1 FY27 (about 59% together); with Yamaha, Suzuki and Royal Enfield the five customers were 86.7% of FY26 automotive sales. This helps (long, stable relationships and a large share of each customer's lighting) and hurts (bargaining power sits with the customer, and one platform loss would be visible in revenue).

Capacity, utilisation and unit economics

Not available / unverified. The documents in the folder do not give installed capacity, utilisation or per-unit price and margin; the annual report and investor presentation would. What the numbers do show is that net block was ₹604 crore against FY26 sales of ₹2,816 crore (about 4.7x sales per rupee of fixed assets) and that depreciation is a steady 2.6% of sales.

The moat – and what is not a moat

- What helps: design-in with the vehicle maker (switching a lamp mid-life needs re-validation), in-house tooling and R&D, scale in LED and two-wheeler lighting, long customer relationships and a debt-free balance sheet that can fund capex from cash flow.
- What is not a moat: Fiem is a price-taker on inputs and its customers are large; its LED technology is not exclusive and the same customers also source from other lighting suppliers such as Uno Minda and Lumax (peers, section 12). Margins of 13–14% are good but not unique.

What can go wrong

- A customer moves a model to another supplier, or a big customer's volumes slow (two-wheeler demand is cyclical).
- Raw-material or wage inflation outruns pass-through; Q1 FY27 is the live example.
- The four-wheeler push (2.5% of revenue, with a Mercedes-Benz validation programme that management says can take 1.5–2 years before any production RFQ) consumes capital without returns for several years.

Glossary

Term	Plain meaning
OEM	Original equipment manufacturer: the company that builds the vehicle (e.g. TVS, Honda).
Tier-1 supplier	Supplier that sells directly to the OEM rather than through another supplier.
LED vs conventional lighting	LED lamps last longer and cost more per vehicle than halogen bulbs; the shift to LED raises content per vehicle.
IPIS	Integrated passenger information systems (LED displays for buses): about 0.1% of sales.
EBITDA margin	Operating profit before depreciation and interest as a % of sales (Screener calls it operating profit).
ROCE / ROE	Profit earned on the capital employed / on shareholders' equity.
WACC	Discount rate used to value future cash flows in a DCF.
DCF	Valuing a business by discounting its expected free cash flows.
Debtor days	Average days it takes customers to pay: receivables / sales × 365.
RFQ	Request for quotation: a customer invites suppliers to bid for a part.
EMC/EMI lab	Test facility for electromagnetic compatibility of electronics.
Promoter pledge	Promoters borrowing against their shares: nil at Fiem.

Key takeaways: Fiem is a two-wheeler lighting and mirror supplier with 59% of sales from TVS and Honda. • Raw material is ~61% of sales; margin depends on pass-through speed. • LED/EV content and four-wheelers are the growth levers; capacity and unit economics are unverified.

4 Business overview

Fiem Industries was incorporated in 1989 (as Rahul Auto Private Limited, renamed in May 1992) and is headquartered in Gurugram, with its registered office at Aerocity, New Delhi. It has about 2,682 employees (stockanalysis.com company page). The Executive Chairman is J.K. Jain; Rahul Jain is Managing Director, Aanchal Jain is Joint MD and Whole-Time Director, and Rajesh Sharma is Joint MD; Om Prakash Gupta is CFO and COO (stockanalysis.com; Q1 filing signed by J.K. Jain).

Segments and group structure

Segment (Q1 FY27 standalone)	Revenue	% of total	Segment result	Margin
Automotive (lighting, mirrors, plastic parts)	₹774.3 crore	99.9%	₹96.7 crore	12.5%
Others (LED luminaires, display panels, IPIS)	₹1.1 crore	0.1%	₹-0.03 crore	loss-making
Total revenue from operations	**₹775.4 crore**	**100.0%**		

Source: Q1 FY27 standalone results filing (12 Aug 2026). Segment result is before finance cost and unallocated items.

Consolidated results include Fiem Industries Japan Co. (100%), Fiem Research and Technology S.r.l., Italy (100%) and a 50% joint venture, Fiem Kyowa (HK) Mould Company. These entities are small: their combined net loss was about ₹0.30 crore in Q1 FY27 and the auditor calls them not material [Q1 filing, review report]. Consolidated and standalone numbers therefore track closely (FY26 consolidated PAT ₹255.6 crore vs standalone ₹253.9 crore).

Geography and channel

Over 98% of automotive sales are in India: exports were 1.85% in FY26 and 1.43% in Q1 FY27 and replacement 5.0% / 4.6% (company presentations via Multibagg). Yamaha volumes were flat YoY in Q1 FY27 because of lower exports and weaker R15 and Aerox sales (Q1 call summary).

Growth initiatives (management commentary, secondary summaries)

- Electric two-wheelers: sole lighting supplier for Ather's Konark, supply for River RX02 and Royal Enfield's EV platform; Hero's Vida plant in Andhra Pradesh to be supplied from Hosur from the next quarter.
- Four-wheelers: supplying number-plate lamps, rear reflectors and fog lamps to Mahindra (Scorpio, Thar, XUV700 refresh) and development orders from Force Motors. About ₹700 crore of RFQs were in the pipeline at Q4 FY26 (about 70% moved to the next stage; management said this is not ₹500 crore of confirmed orders). Four-wheelers were ~2.3–2.5% of revenue; the revenue target slipped about two quarters, with meaningful revenue now expected in FY28.
- Mercedes-Benz: RFQ received in Q2 FY26, plant approved as a potential global supplier of small lamps in Q3, testing and validation project in Q4 and prototypes complete in Q1 FY27; vehicle-level testing can take 1.5–2 years before any production RFQ.
- New products: hands-off detection proofs-of-concept and light-control modules in development with two or three customers; mass production depends on customer RFQs.

Management FY27 guidance: 15–20% revenue growth, about 14% EBITDA margin, capex about ₹100 crore (Q1 FY27 call summaries; the FY26 and Q1 numbers match the filing).

Key takeaways: Single-segment business: automotive is 99.8% of revenue. • The group is small outside India; subsidiaries are immaterial. • Growth stories (EV, four-wheelers, Mercedes) are real but small and slow to convert.

5 Industry analysis

Not available / unverified for market size and share: no industry report was provided and we did not find an authoritative, citable estimate of the Indian two-wheeler lighting market or Fiem's share, so we do not state one. What we can cite:

- Two-wheeler demand: Q1 FY27 was a record quarter with 7.25 million two-wheelers sold (Q1 call summary).
- Electrification: EVs were above 9% of two-wheeler volumes in Q1 FY27 vs about 6% a year earlier (same source). EV models need more LED content, which helps lighting suppliers with EV design-ins.
- LED penetration: management expects the broader market to reach 90–95% LED by 2030 and targets Fiem's own LED share of lighting at about 70% in 24–30 months (same source).
- Sector price action: the auto-ancillary index fell about 2% on 8 Oct 2026 and Fiem underperformed it that day (MarketsMojo, 8 Oct 2026).

Porter's five forces (our qualitative assessment)

Force	Assessment	Reasoning (our judgement)
Buyer power	High	Five OEMs are ~87% of sales; each can re-source new models. Mitigant: switching mid-life is costly.
Supplier power	Medium	Raw material ~61% of sales; commodity inputs, but pass-through is lagged.
Rivalry	High	Uno Minda, Lumax and Varroc compete in lighting; larger peers have more diversified revenue.
New entrants	Low–medium	Validation cycles, tooling and OEM approvals are barriers; Chinese LED imports and EV start-ups are a watch item.
Substitutes	Low	A lamp has no substitute; the shift from halogen to LED helps incumbents who can make LEDs.

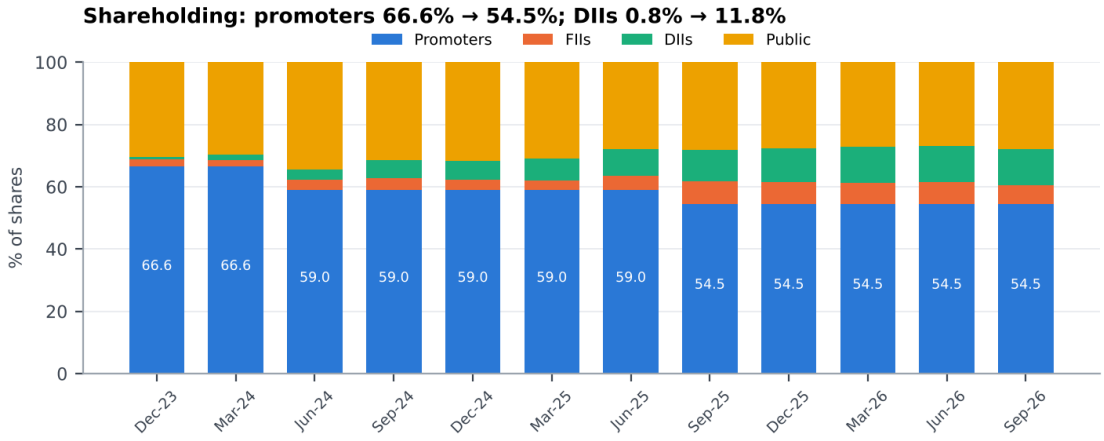
Regulation and cyclicality

Two-wheeler volumes are cyclical and sensitive to rural income, fuel prices and interest rates. Safety rules on lighting and the shift to EVs are structural tailwinds for LED content. Labour-law changes are a live cost item: Haryana raised minimum wages by about 35% and management expects other states to follow (Q1 call summary). Input-cost and currency sensitivity (weaker rupee, tariffs, supply-chain disruption) were the risks management itself named.

Key takeaways: Industry size and share are unverified; we avoid inventing them. • EV and LED trends help content per vehicle; buyer power and wage inflation cap margins.

6 Management and governance

RED FLAG (automatic under our framework): promoter stake reduction. Promoter holding fell from 66.56% (Dec-23/Mar-24) to 58.96% (Jun-24) and to 54.51% (Sep-25) [shareholding screenshot, Screener]. It has been unchanged at 54.51% for the last four quarters; promoter pledge is nil.



Source: shareholding-pattern screenshot (Screener.in) in Drive folder, Dec-23 to Sep-26

Figure 4: Shareholding pattern, Dec-23 to Sep-26. Promoters have been replaced mainly by domestic institutions.

Event	Detail	Source
Sept 2025 sale	Aanchal Jain, Seema Jain and Rahul Jain sold 11,70,000 shares (4.45% of equity) in the open market on 5 and 17 Sep 2025; promoter group 58.96% → 54.52%. Price and buyers not disclosed in the sources we could read.	ScanX; FilingReader (secondary summaries of the Reg 29 disclosure)
Earlier drop	Promoters 66.56% (Mar-24) → 58.96% (Jun-24): a 7.6 pp fall. We could not find the mechanism or the seller in the sources read.	Screener screenshot; mechanism: Not available / unverified
Institutions	DIIs 0.80% → 11.84%, FIIs 2.32% → 5.86% (peak 7.19% in Sep-25); shareholder count 50,287 → 73,810.	Screener screenshot

Interpretation (our judgement): the selling coincided with the stock's re-rating (price ₹1,133 at March 2024 to ₹1,911 at March 2026, Screener) and the stake sold appears to have been absorbed by domestic funds. A promoter holding of 54.5% is still above our 40% threshold, but repeated selling is a negative signal and the stake should be monitored every quarter.

What we could not verify

Item	Status
Promoter remuneration, related-party transactions, board independence	Not available / unverified (annual report not in the folder)
Auditor tenure, KAMs, CARO remarks, emphasis-of-matter	Not available / unverified for FY26; the Q1 FY27 limited-review reports (Anil S. Gupta & Associates) are unmodified
Controversies	None found in the sources read; two plant fires are covered in section 9
Credit rating	Not available / unverified
Management changes in the last 12 months	None found in the sources read

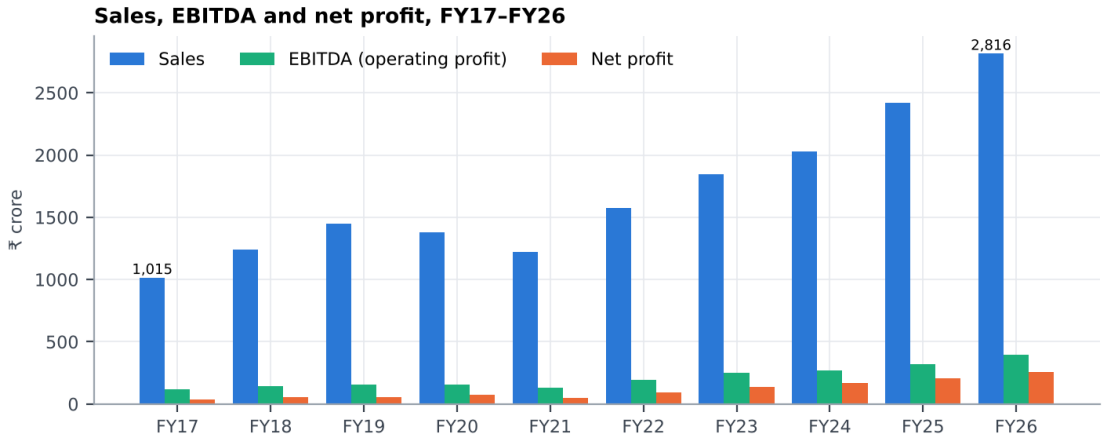
Key takeaways: Promoter stake cut 12 pp since Dec-23 is a red flag, though pledge is nil and the stake is stable since Sep-25. • Family-run board and remuneration/RPT checks need the annual report.

7 Historical financial analysis

Fiem's sales rose from ₹1,015 crore in FY17 to ₹2,816 crore in FY26. Growth was flat through FY19–FY21 (FY21 was the pandemic year) and accelerated after FY21. Net profit grew faster than sales because margins widened and interest costs vanished as debt was repaid.

CAGR to FY26	3 years	5 years	9 years (FY17–26)
Sales	15.1%	18.2%	12.0%
EBITDA	16.8%	24.2%	14.4%
Net profit	22.3%	40.5%	25.5%
EPS (bonus-adjusted)	22.3%	40.5%	25.5%

Source: Screener export; our calculation. 10-year CAGR is 9 years because the data begin at FY17. The 5-year profit CAGR is flattered by the low FY21 base (₹46.7 crore).

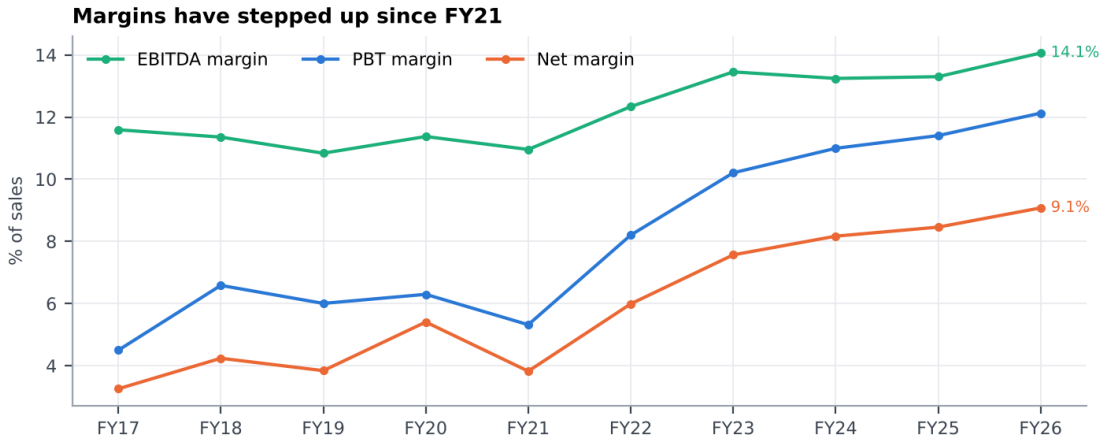


Source: Screener.in export (Drive folder), consolidated, FY ends March

Figure 5: Sales, EBITDA and net profit, FY17–FY26.

₹ crore	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
Sales	1,014.6	1,239.7	1,449.0	1,379.4	1,221.2	1,572.3	1,848.1	2,028.8	2,422.6	2,815.6
growth %	–	22.2	16.9	-4.8	-11.5	28.8	17.5	9.8	19.4	16.2
EBITDA	117.6	140.8	157.0	156.9	133.8	194.0	248.6	268.7	322.2	395.9
margin %	11.6	11.4	10.8	11.4	11.0	12.3	13.5	13.2	13.3	14.1
Depreciation	39.2	44.3	48.9	53.2	57.2	59.0	63.4	58.6	64.3	72.5
Interest	23.2	22.7	22.1	17.7	11.6	8.6	7.4	2.9	1.5	2.8
Other income	-9.5	7.9	1.0	0.8	0.0	2.6	10.8	16.0	19.9	20.8
PBT	45.6	81.6	87.0	86.9	65.0	129.0	188.6	223.1	276.3	341.4
Tax	12.6	29.0	30.4	8.2	18.0	33.7	48.7	57.2	71.3	85.8
Net profit	33.0	52.6	55.6	74.6	46.7	94.2	139.8	165.7	204.9	255.6
EPS (₹)	12.6	20.0	21.2	28.4	17.8	35.8	53.2	63.0	77.9	97.2
Dividend paid	10.5	11.8	15.8	17.1	21.1	26.3	39.5	52.6	79.0	105.3

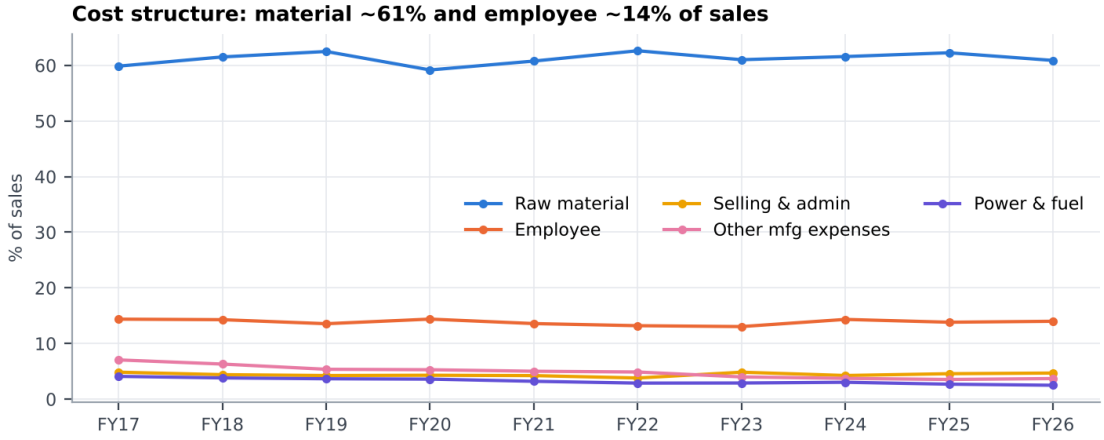
Source: Screener.in export (consolidated). EBITDA = Screener "operating profit".



Source: Screener.in export (Drive folder), consolidated, FY ends March; EBITDA = Screener "operating profit"

Figure 6: Margins. EBITDA margin was 11–12% until FY21 and 13–14% since FY23.

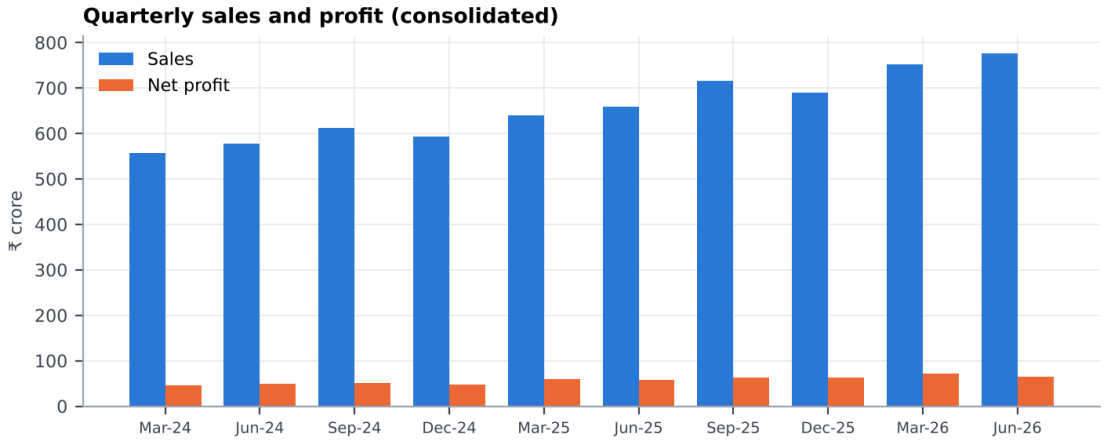
The step-up in margin came from operating leverage and the move to LED (higher value per part) rather than from falling input costs: raw material was 59.9% of sales in FY17 and 60.9% in FY26. Employee cost has been 13–14.5% of sales throughout. Depreciation fell from 3.9% to 2.6% of sales as the asset base was sweated (net block ₹479 crore in FY17 vs ₹604 crore in FY26 on 2.8x the sales).



Source: Screener.in export (Drive folder), consolidated, FY ends March; raw material = raw material cost net of nothing else (Screener line)

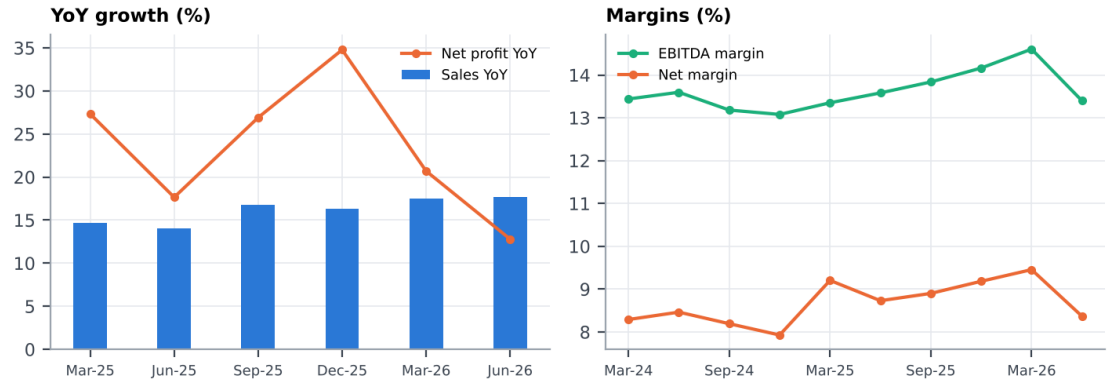
Figure 7: Cost lines as % of sales.

Quarterly trend



Source: Screener.in export (Drive folder), consolidated

Figure 8: Ten quarters of sales and profit.



Source: Screener.in export, consolidated; our calculation

Figure 9: YoY growth and margins by quarter.

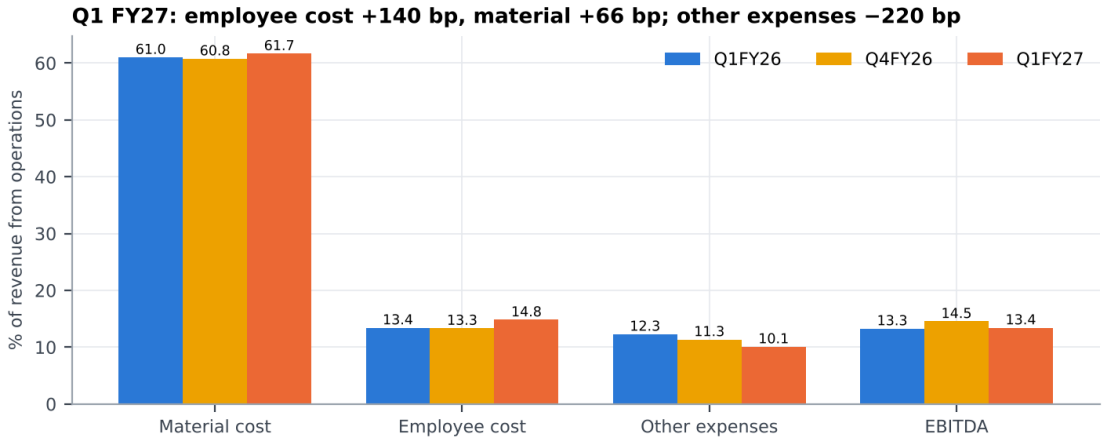
₹ crore	Mar-24	Jun-24	Sep-24	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26
Sales	557.5	577.7	612.4	593.1	639.4	658.9	715.4	690.1	751.2	775.4
YoY %	–	–	–	–	14.7	14.1	16.8	16.4	17.5	17.7
EBITDA	74.9	78.5	80.7	77.6	85.4	89.5	99.0	97.7	109.7	103.9
margin %	13.4	13.6	13.2	13.1	13.4	13.6	13.8	14.2	14.6	13.4
PBT	61.7	66.4	68.0	64.5	77.3	77.8	84.8	84.2	94.7	88.3
Net profit	46.2	48.9	50.2	47.0	58.9	57.5	63.7	63.4	71.0	64.9
PAT YoY %	–	–	–	–	27.3	17.7	26.9	34.8	20.7	12.8

Source: Screener.in export (consolidated). YoY needs the same quarter a year earlier, so it starts at Mar-25.

Q1 FY27 deep-dive (standalone filing, 12 Aug 2026)

% of revenue from operations	Q1 FY26	Q4 FY26	Q1 FY27	YoY change
Material cost (incl. inventory change)	61.0%	60.8%	61.7%	+66 bp
Employee cost	13.4%	13.3%	14.8%	+140 bp
Other expenses	12.3%	11.3%	10.1%	-221 bp
EBITDA (our calculation)	13.3%	14.5%	13.4%	+15 bp

Source: Q1 FY27 standalone results filing; our calculation. Headline EBITDA is flat YoY (13.3% → 13.4%) only because other expenses fell 220 bp.



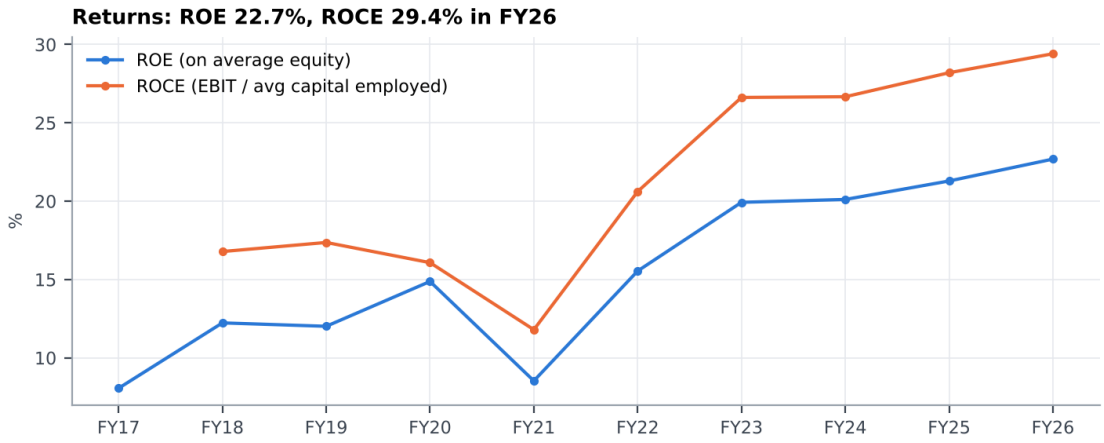
Source: Q1 FY27 standalone results filing (12 Aug 2026), Drive folder; our calculation (EBITDA = revenue − material − employee − other expenses)

Figure 10: Q1 FY27 cost structure vs Q1 FY26 and Q4 FY26.

Two things stand out. First, employee cost jumped 30% YoY (₹114.9 crore vs ₹88.4 crore) against revenue growth of 17.8%; management attributes this to the Haryana minimum-wage revision and expects the run-rate to hold for three more quarters. Second, other expenses fell 3.4% in absolute terms (₹78.2 crore vs ₹81.0 crore) while revenue rose 17.8%. We cannot explain that from the filing (it could include recoveries or timing items) and flag it as a quality-of-earnings question: without the 220 bp saving, Q1 EBITDA margin would have been about 11.2%. Standalone PAT was ₹65.19 crore (+16.3% YoY, −7.6% QoQ); consolidated PAT was ₹64.88 crore (+12.8% YoY) because the overseas entities swung to a small loss.

Key takeaways: Sales CAGR 15% (3y) and 18% (5y); PAT CAGR 22% (3y). • Margins are at record levels; Q1 FY27 shows cost pressure masked by a drop in other expenses.

8 Ratio analysis

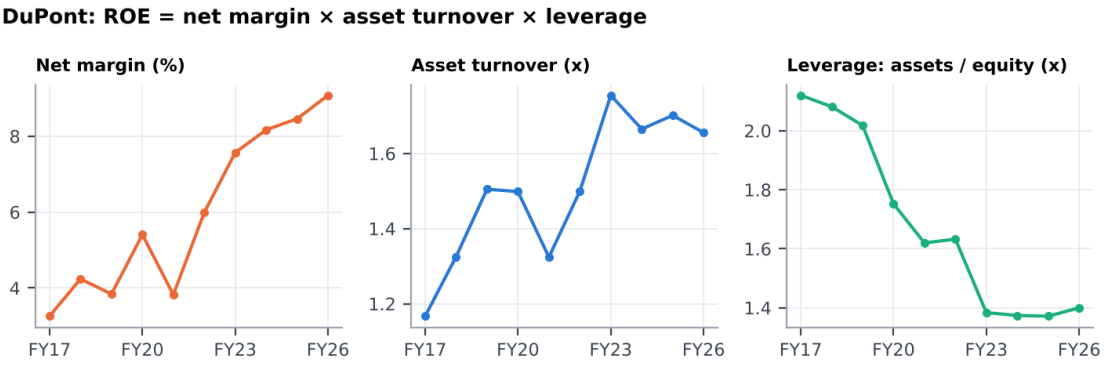


Source: Screener.in export (Drive folder), consolidated, FY ends March; computed from stated inputs (our calculation)

Figure 11: ROE and ROCE.

₹ crore	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
ROE %	8.1	12.2	12.0	14.9	8.5	15.5	19.9	20.1	21.3	22.7
ROCE %	–	16.8	17.4	16.1	11.8	20.6	26.6	26.7	28.2	29.4
Net margin %	3.3	4.2	3.8	5.4	3.8	6.0	7.6	8.2	8.5	9.1
Asset turnover x	1.17	1.33	1.50	1.50	1.32	1.50	1.75	1.67	1.70	1.66
Leverage x	2.12	2.08	2.02	1.75	1.62	1.63	1.38	1.37	1.37	1.40
Interest cover x	3	5	5	6	7	16	26	77	180	123
Debt/equity x	0.55	0.35	0.36	0.24	0.14	0.07	0.03	0.03	0.02	0.05
Dividend payout %	32	23	28	23	45	28	28	32	39	41

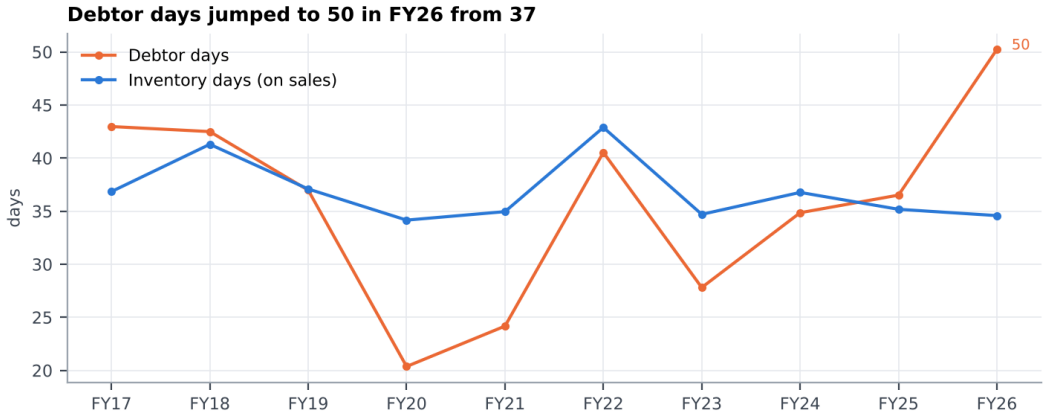
Source: Screener export; our calculation (ROE on average equity; ROCE = (PBT + interest) / average (equity + borrowings)). Our ROE/ROCE differ slightly from the Screener screenshot (22.6% / 29.3%) because of averaging.



Source: Screener.in export (Drive folder), consolidated, FY ends March; our calculation

Figure 12: DuPont decomposition.

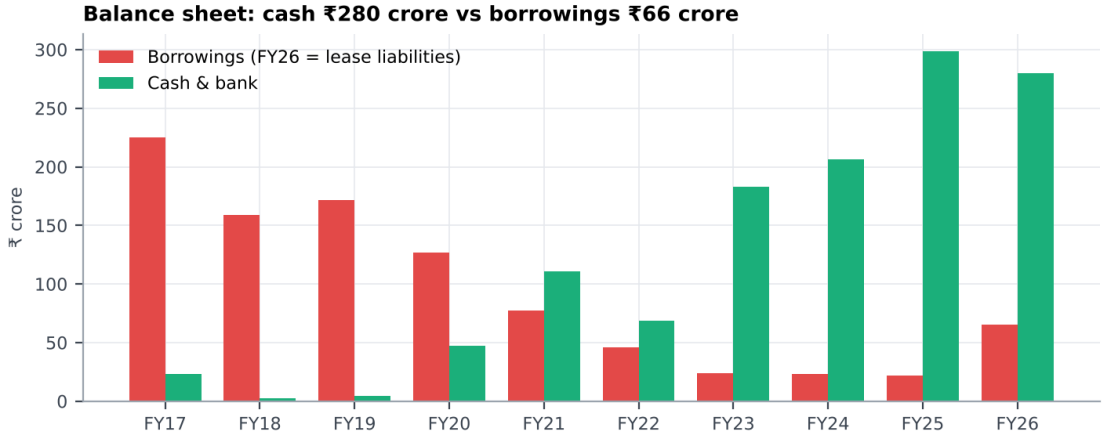
ROE rose from 8% (FY17) to 22.7% (FY26). DuPont shows the driver: net margin tripled (3.3% to 9.1%) and asset turnover improved from 1.2x to 1.65x while leverage fell from 2.1x to 1.4x. Returns are therefore earned from operations, not from borrowing. FY17 interest cover was about 3x; it is now 100x+, and the FY26 borrowings of ₹65.6 crore are almost entirely lease liabilities (₹5.0 crore current plus ₹60.5 crore non-current, stockanalysis.com balance sheet).



Source: Screener.in export (Drive folder), consolidated, FY ends March; days = year-end balance / sales × 365 (our calculation); payables not separately disclosed in export

Figure 13: Debtor and inventory days.

Working capital is the weak spot. Debtor days rose from 37 to 50 in FY26 (receivables +60% against sales +16%); inventory days stayed near 35. Operating working capital (Screener "other assets" less cash less other liabilities) was ₹382 crore, or 13.6% of sales, versus 7.8% a year earlier. Management quotes working-capital days of 47 vs 37 (Multibagg, FY26 presentation summary). Payables days and the cash conversion cycle cannot be computed because the export lumps payables into "other liabilities": Not available / unverified.

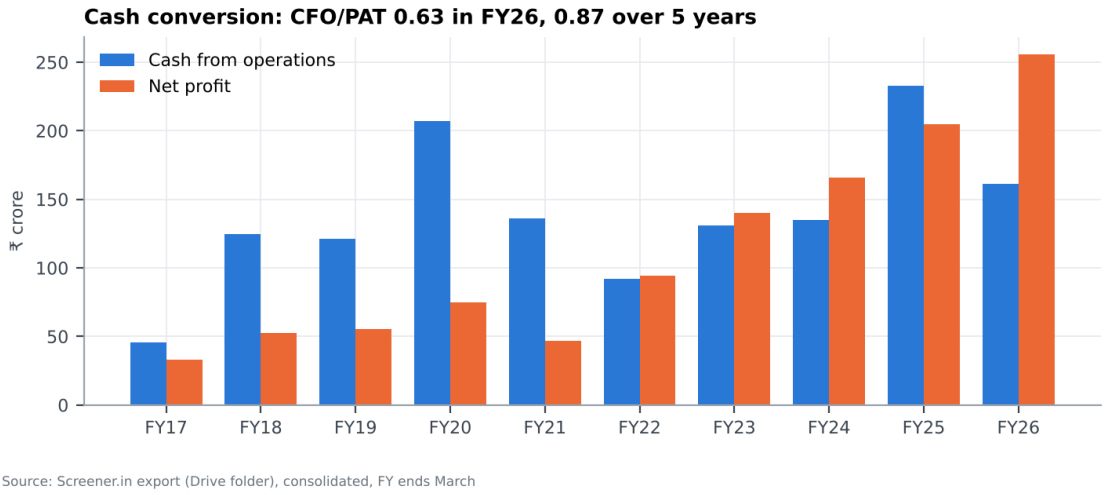


Source: Screener.in export (Drive folder), consolidated, FY ends March; FY26 borrowings composition per stockanalysis.com balance sheet (leases)

Figure 14: Borrowings and cash.

Key takeaways: ROE 22.7% and ROCE 29.4% with leverage of 1.4x: high-quality returns. • The one deteriorating ratio is debtor days (37 → 50); watch it each quarter.

9 Quality of earnings and audit review



Source: Screener.in export (Drive folder), consolidated, FY ends March

Figure 15: Cash from operations vs net profit.

₹ crore	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
CFO	45.6	124.7	121.0	207.3	135.9	92.2	130.9	134.9	233.1	161.3
Net profit	33.0	52.6	55.6	74.6	46.7	94.2	139.8	165.7	204.9	255.6
CFO/PAT x	1.38	2.37	2.17	2.78	2.91	0.98	0.94	0.81	1.14	0.63
Accruals / assets %	-1.4	-7.7	-6.8	-14.4	-9.7	0.2	0.8	2.5	-2.0	5.5
Receivables growth %	–	21	2	-48	5	116	-19	38	25	60
Inventory growth %	–	37	5	-12	-9	58	-5	16	14	14
Sales growth %	–	22	17	-5	-11	29	18	10	19	16
Tax rate %	27.6	35.6	34.9	9.4	27.8	26.1	25.8	25.7	25.8	25.1

Source: Screener export; our calculation. Accruals ratio = (PAT − CFO) / total assets.

CFO covered 0.87x of profit over five years and 0.85x over three, which is acceptable, but FY26 was 0.63x because receivables absorbed about ₹145 crore. FY26 receivables growth of 60% was nearly four times sales growth of 16%; inventory grew 14%. If debtor days do not normalise, profit quality weakens.

Capex vs depreciation and capitalised items

Our estimated capex (net block change plus CWIP change plus depreciation) was ₹137 crore in FY25 and ₹118 crore in FY26 against depreciation of ₹64 crore and ₹72 crore, i.e. 1.6–2.1x depreciation: investment is ahead of maintenance levels. Management guides about ₹100 crore for FY27. Capitalised expenses and exceptional items: none visible in the Q1 filing (no exceptional items in Q1 FY27, Q4 FY26 or Q1 FY26).

Insurance claims on two plant fires

Item	Detail	Source
Unit 7, Rai (Haryana) – fire 13 Jun 2023	Plant and equipment reinstated. Receivable recognised: inventory ₹25.84 crore + PPE ₹25.53 crore. ₹50 crore interim payment received in FY25; final settlement not yet recorded.	Q1 FY27 filing, note 4
Unit 8, Tapukara (Rajasthan) – fire 23 Aug 2025	Receivable recognised at carrying value: inventory ₹21.06 crore + PPE ₹27.68 crore (₹48.74 crore). Claim of ₹82.30 crore on reinstatement basis filed 30 Jan 2026; "final settlement remains subject to assessment" and any additional accounting impact will be recorded on finalisation.	Q1 FY27 filing, note 3

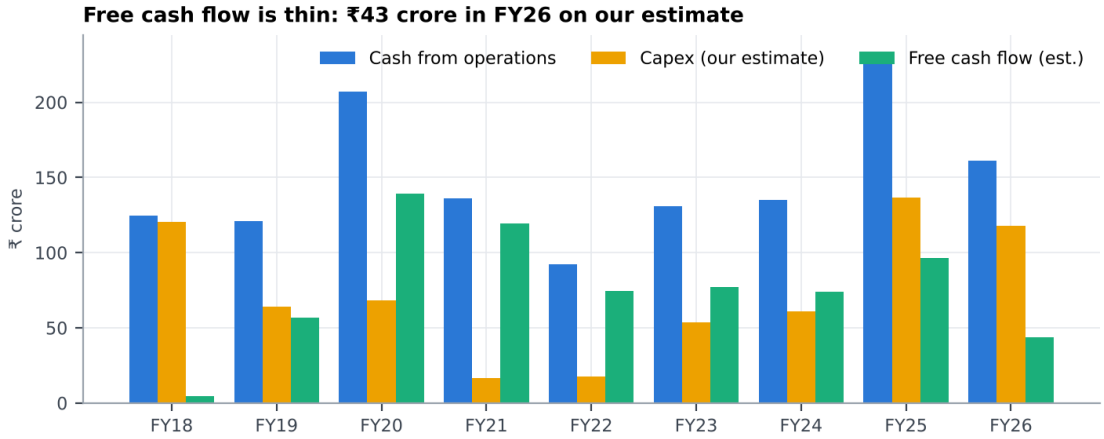
Why it matters: at least ₹48.7 crore of insurance receivable (Unit 8) is uncollected and the remaining Unit 7 balance is not disclosed; a settlement different from the booked value would flow through the P&L. Upside if the ₹82.3 crore claim is accepted in full (about ₹33 crore above the booked ₹48.7 crore, before tax); downside if the insurer assesses lower. This is not in our estimates.

Red-flag register

Flag	Evidence	Severity
Promoter stake reduction	66.6% → 54.5% since Dec-23; 4.45% sold Sep 2025	High
Customer concentration	TVS + Honda 59%; top five 87%	High
Receivables build-up	Debtors +60% vs sales +16%; 50 days	Medium
CFO below profit in FY26	CFO/PAT 0.63x	Medium
Unexplained fall in other expenses (Q1 FY27)	−3.4% YoY vs revenue +17.8%; worth ~220 bp of margin	Medium
Insurance claims unsettled	₹82.3 crore claim, ₹48.7 crore booked (Unit 8); Unit 7 final entries pending	Medium
Related-party / remuneration / KAMs	Not verified (no annual report)	Unknown
Pledge, debt, exceptional items, auditor opinion	Nil pledge; no financial debt; none in Q1; review reports unmodified	Low

Key takeaways: Cash conversion is acceptable over 5 years but weak in FY26. • The two insurance claims and the Q1 fall in other expenses are the items to ask management about.

10 Cash flow and capital allocation



Source: Screener.in export (Drive folder), consolidated, FY ends March; capex = Δnet block + ΔCWIP + depreciation (our estimate, not disclosed in export)

Figure 16: Cash from operations, estimated capex and free cash flow.

₹ crore	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
Cash from operations	45.6	124.7	121.0	207.3	135.9	92.2	130.9	134.9	233.1	161.3
Cash from investing	-197.6	-44.3	-80.5	-46.5	-15.4	-73.7	38.8	-68.7	-85.6	-96.0
Cash from financing	173.2	-101.5	-38.1	-118.1	-57.1	-60.6	-55.0	-43.1	-55.2	-84.2
Net cash flow	21.2	-21.2	2.4	42.7	63.4	-42.1	114.7	23.0	92.3	-18.9
Capex (our est.)	–	120.2	64.1	68.2	16.3	17.7	53.7	60.8	136.7	117.8
Free cash flow (est.)	–	4.5	57.0	139.1	119.6	74.6	77.2	74.1	96.3	43.5
Dividends paid	10.5	11.8	15.8	17.1	21.1	26.3	39.5	52.6	79.0	105.3

Source: Screener export; capex and FCF are our estimates (net block + CWIP change + depreciation); FCF = CFO − estimated capex.

Over the last five years Fiem generated about ₹752 crore of operating cash flow and an estimated ₹366 crore of free cash flow, and paid ₹303 crore of dividends, which is 83% of FCF. In FY26 the dividend (₹105 crore, ₹40 a share) was well above estimated FCF (₹44 crore) and was funded from cash. Dividend per share (bonus-adjusted, stockanalysis.com) rose from ₹10 in FY22 to ₹15, ₹20, ₹30 and ₹40 in FY26; the payout ratio reached 41%. A 1:1 bonus doubled the share count in FY24 (Screener: shares 1.32 crore to 2.63 crore). FCF yield on the current market cap is about 0.9% (stockanalysis.com shows 0.64% on trailing numbers).

Capital allocation priorities per the Q1 FY27 call summary: FY27 capex about ₹100 crore (₹41.15 crore spent in Q1), mostly at Hosur; cash about ₹250 crore and no debt; management is evaluating organic and inorganic options (four-wheeler capex, electronics), prefers internal accruals, and would consider debt for a major opportunity. We read the combination of rising capex, a high payout and weaker FCF as a sign that the dividend is being paid partly from the cash pile; it is sustainable at current cash levels but leaves less room for acquisitions.

Key takeaways: FCF is thin; dividends took 83% of five-year FCF. • A debt-free balance sheet and ₹250–280 crore of cash give flexibility.

11 Forecasts

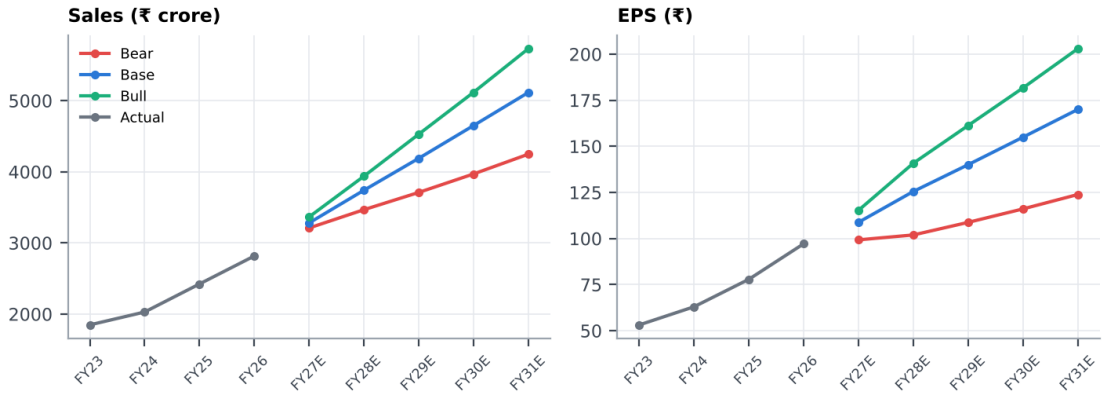
All forecasts are our estimates, built from management guidance (15–20% revenue growth, about 14% EBITDA margin for FY27) and the Q1 FY27 run-rate. They are not company guidance.

Assumption	Base	Bull	Bear	Rationale / source
Sales growth FY27E	16.5%	19.5%	14.0%	Guidance 15–20%; Q1 consolidated +17.7%; base at the lower half because Yamaha is flat and 4W slipped
Growth FY28E–FY31E (base)	14 / 12 / 11 / 10%	17 / 15 / 13 / 12%	8 / 7 / 7 / 7%	Fades toward nominal GDP; EV and LED content support above-market growth; bear = volume slowdown
EBITDA margin FY27E / FY28E+	13.8% / 14.0%	14.2% / 14.8%	13.0% / 12.5%	Q1 13.4% (revenue basis), guide ~14%; wage run-rate persists 3 quarters; bear = pass-through fails
Depreciation	2.6% of sales	same	same	FY26 2.57%, FY17–FY26 trend 2.6–3.9%
Capex	₹100 crore FY27E, then 3.3% of sales	same	same	Guidance ₹100 crore; FY25–26 estimated 3.5–4.8% of sales
Operating NWC	12% of incremental sales	same	same	FY24–26 range 7.8–13.6% of sales; FY26 at the top
Tax rate	25.3%	same	same	FY26 25.1%, 10-yr range 13–36% (low years distorted)
Other income / interest	₹20 crore / ₹4 crore	same	same	FY26 ₹20.8 crore / ₹2.8 crore

Base case (₹ crore)	FY27E	FY28E	FY29E	FY30E	FY31E
Sales	3,280	3,739	4,188	4,649	5,114
growth %	16.5	14.0	12.0	11.0	10.0
EBITDA	453	524	586	651	716
EBITDA margin %	13.8	14.0	14.0	14.0	14.0
Net profit	286	330	369	408	447
EPS (₹)	108.8	125.5	140.0	155.0	170.0
FCFF	204	237	273	308	344

Source: our model (model.py). FY26 actual: sales ₹2,816 crore, EBITDA ₹396 crore (14.1%), PAT ₹256 crore, EPS ₹97.2. Screener's own "trailing" EPS is ₹100.2.

FY28E	Bear	Base	Bull
Sales (₹ crore)	3,467	3,739	3,937
EBITDA margin	12.5%	14.0%	14.8%
EPS (₹)	101.9	125.5	140.9
EPS CAGR FY26–FY28E	2.4%	13.7%	20.4%



Source: Screener.in actuals; estimates are our own assumptions (see assumptions table)

Figure 17: Actual and forecast sales and EPS under the three cases.

Check against the Q1 run-rate: Q1 FY27 PAT was ₹64.9 crore, or ₹259 crore annualised; the base case FY27E PAT of ₹286 crore needs the remaining three quarters to average about ₹74 crore, which is above the Q1 level but in line with the Q3 FY26–Q4 FY26 average of ₹67 crore plus pass-through of costs. If margin stays at the Q1 level of about 13.4% the base case EPS would be about 3% lower.

Key takeaways: Base case EPS ₹109 (FY27E) and ₹126 (FY28E); bear ₹99 / ₹102; bull ₹115 / ₹141. • The forecast hinges on margin recovering to about 14%.

12 Valuation

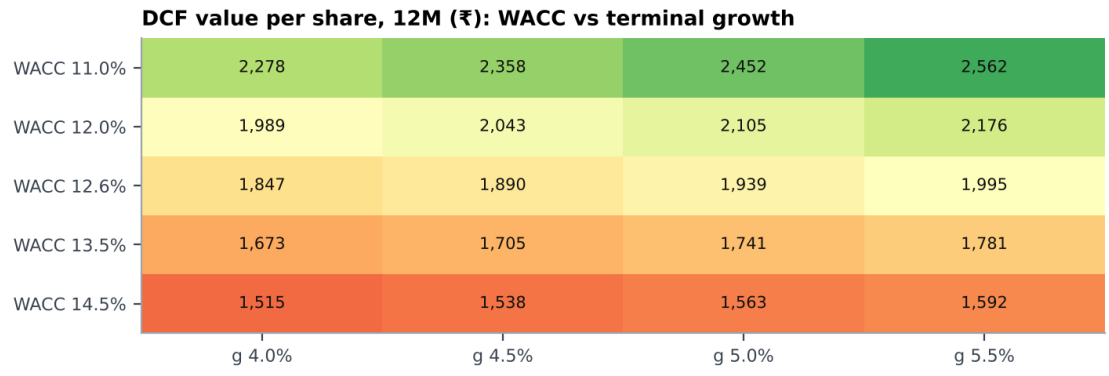
Discount rate

Input	Value	Source / date
India 10-year G-sec yield	7.40%	TradingEconomics, 13–19 Oct 2026 updates (7.36–7.4%)
Less sovereign default spread	1.87%	Damodaran country-risk table (Baa3), Jan 2026
Risk-free rate (INR, default-spread-adjusted)	5.53%	our calculation
Equity risk premium (India)	7.08%	Damodaran, Jan 2026 (mature 4.23% + country 2.85%)
Beta used	1.00	our judgement: the 5Y regression beta of 0.49 (stockanalysis.com, 4 Sep 2026) is unusually low for a cyclical, concentrated supplier; Trendlyne betas were not provided
Cost of equity / WACC	12.61%	debt is only lease liabilities (₹66 crore), so WACC ≈ cost of equity
Terminal growth	5.0%	our assumption, below the risk-free rate

DCF (base case)

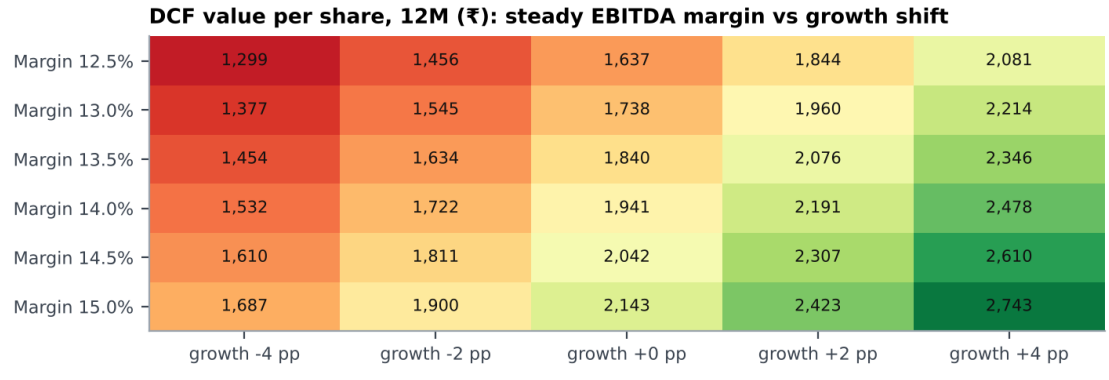
Item	₹ crore
PV of FCFF FY27E–FY41E (mid-year)	2,679
PV of terminal value	1,732
Enterprise value	4,411
Add: cash ₹280 crore less borrowings ₹66 crore	214
Equity value	4,625
Per share today (₹, 2.632 crore shares)	1,757
Rolled forward 12 months at cost of equity, less ₹40 dividend (₹)	1,939
Terminal value as % of EV	39%

FCFF is discounted at WACC and the resulting equity value rolled forward at the cost of equity (our standard method across reports). The 15-year explicit period fades growth from FY31E to the terminal rate.



Source: our model; green = above CMP ₹1,824

Figure 18: DCF sensitivity to WACC and terminal growth.



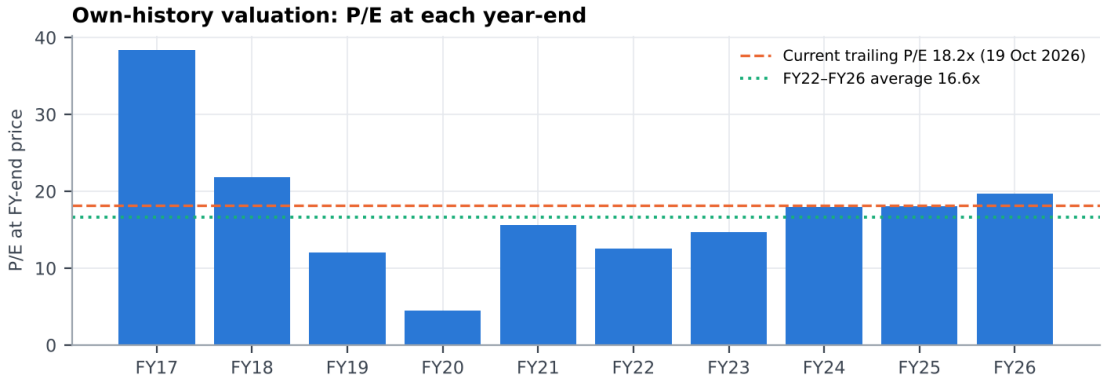
Source: our model; growth shift applied to each of FY27–FY31 base growth rates

Figure 19: DCF sensitivity to steady-state margin and growth.

What is the market pricing in? (reverse DCF)

Holding our base growth path, the current price of ₹1,824 is justified by a steady-state EBITDA margin of 14.4% (we assume 14.0%); or by growth +0.6 pp a year versus our base; or by a discount rate of 12.3% (we use 12.6%). In plain words: at ₹1,824 the market already assumes margins recover to the 14% management guides. The DCF therefore offers no margin of safety (our ₹1,757 is -4% versus the price); upside has to come from re-rating or beating the 14% margin.

P/E leg and own history



Source: Screener.in export (price at FY end ÷ EPS); FY17 and FY20 are distorted by depressed earnings / the Mar-20 crash

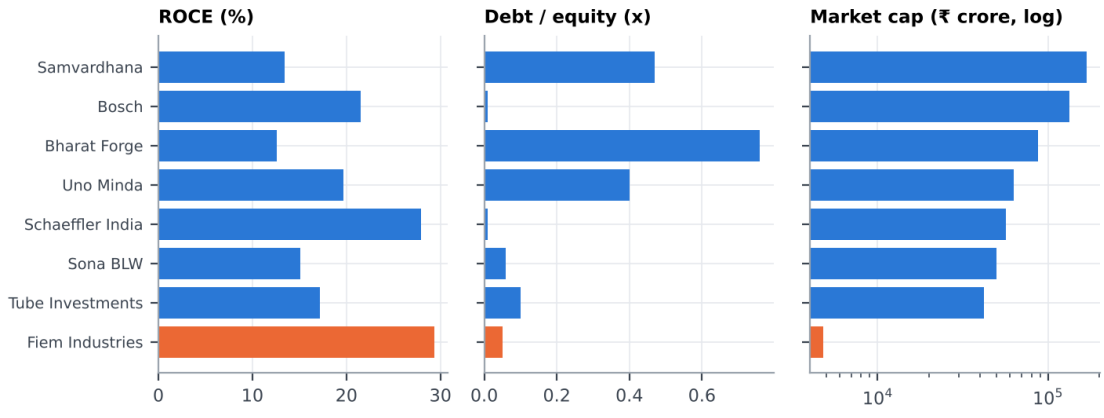
Figure 20: Year-end P/E, FY17–FY26.

We apply 18x to FY28E EPS of ₹125.5, giving ₹2,260. Why 18x (our judgement): it equals the current trailing multiple (18.2x) and sits just above the FY22–FY26 year-end average of 16.6x and the 10-year Screener average of 17.6x, justified by 29% ROCE and zero debt; we do not assume a move toward the 30–65x multiples of larger lighting peers because those reflect different growth and earnings bases. Applying the multiple to FY28E EPS (two years out) is the same convention used in our earlier reports.

Peer comparison

Company (Screener peer list)	CMP ₹	Mkt cap ₹ cr	Debt/Eq	Debt ₹ cr	ROCE %
Samvardhana Motherson	158.15	168,551	0.47	19,169.7	13.43
Bosch	45,195.00	133,622	0.01	118.8	21.54
Bharat Forge	1,798.60	87,088	0.76	7,308.6	12.61
Uno Minda	1,087.40	62,669	0.40	2,740.1	19.65
Schaeffler India	3,623.40	56,590	0.01	33.7	27.90
Sona BLW Precision	794.00	49,634	0.06	363.4	15.11
Tube Investments	2,170.00	41,954	0.10	754.0	17.14
Fiem Industries	1,823.60	4,786	0.05	65.5	29.34
Median of 132 companies in sector (Screener)	450.05	1,522	0.40	120.84	16.44

Source: Screener.in peer-comparison screenshot in the Drive folder, 19 Oct 2026. The screenshot shows only these six columns; P/E, sales/profit growth and other ratios were not in it. Most peers are large diversified component makers, so the match to Fiem is weak; Uno Minda is the closest lighting competitor.



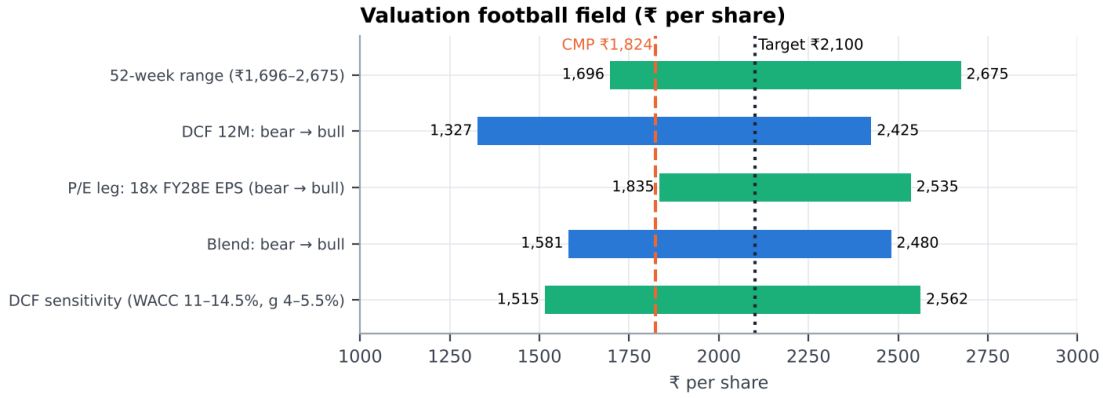
Source: Screener.in peer-comparison screenshot (Drive folder, as of 19-Oct-2026)

Figure 21: Peer ROCE, leverage and size (Screener).

Lighting peers (stockanalysis.com)	As of	P/E	Fwd P/E	EV/EBITDA	P/B	EBITDA mgn	ROIC	D/E	Beta 5Y
Fiem (stockanalysis)	4 Sep 26	20.9x	18.0x	13.0x	4.5x	13.7%	25.0%	0.05	0.49
Fiem (Screener, 19 Oct)	19 Oct 26	18.2x	–	10.6x	3.9x	14.1%*	29.3%*	0.05	–
Uno Minda	14 Oct 26	53.6x	42.6x	26.7x	8.9x	10.7%	12.9%	0.38	0.31
Lumax Industries	6 Aug 26	31.4x	23.8x	13.4x	5.9x	9.6%	11.5%	1.06	0.84
Varroc Engineering	8 Sep 26	65.8x	30.5x	16.1x	7.1x	8.6%	13.7%	0.51	0.32

Source: stockanalysis.com statistics pages (dates differ by company because pages were cached at different times; peer multiples are therefore indicative, not same-day). *Fiem EBITDA margin FY26 and ROCE from Screener. Peer ROE was n/a on most pages.

Reading: Fiem earns higher margins and returns than the three lighting peers, has no debt, and trades at a large discount (P/E 18x vs 31–66x). Part of the discount is deserved (customer concentration, promoter selling, two-wheeler cyclicality, small size) and part reflects peers' depressed earnings bases; peers also have growth in four-wheelers and electronics that Fiem does not yet have.



Source: our model (model.py); CMP = 19 Oct 2026 close per Screener.in

Figure 22: Football field.

Margin of safety: DCF base ₹1,757 today vs CMP ₹1,824: none. Blended 12-month value ₹2,099 is 15% above CMP; the bear blend ₹1,581 is -13% below. Risk/reward is positive but modest, which is why we rate Accumulate (staggered entry) rather than Buy.

Key takeaways: Cash-flow value ≈ market price: the market already prices ~14.4% margin. • Target ₹2,100 depends on holding 18x P/E; the bear case is −13%.

13 Risk analysis



Source: stockanalysis.com NSE/BSE history pages (cached snapshots), MarketsMojo (Oct closes), Screener (19 Oct). BSE volume not shown (far smaller than NSE)

Figure 23: Price, 20-/50-day averages and NSE volume.

Price window used (our choice: last six months, daily): 62 trading sessions from 2026-05-22 to 2026-08-19 (NSE for 22 May–3 Aug, BSE for 4–19 Aug), plus sparse October closes from news pages. We could not retrieve daily prices

for 20 Aug–5 Oct (the cached price pages stop in August), so all window statistics below refer to 22 May–19 Aug only.

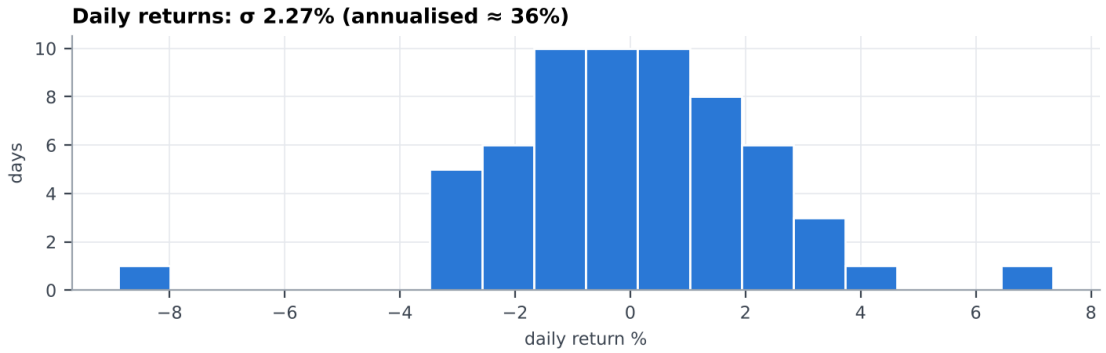
Measure (22 May–19 Aug 2026)	Value
Annualised volatility (daily σ × √250)	36% (daily σ 2.27%)
Highest close	₹2,647 (2026-08-12, day of Q1 results)
Lowest close in window	₹2,181
Max drawdown inside window	-16.1% (to 2026-08-18)
Worst / best day	−8.9% (13 Aug, BSE) / +7.3% (5 Aug, BSE)
20-day / 50-day average close at 19 Aug	₹2,395 / ₹2,321
Latest known close (19 Oct)	₹1,824: -31% below the 12 Aug close; -32% below the 52-week high (₹2,675)
Average / median NSE volume (22 May–3 Aug)	49,351 / 38,026 shares a day
Highest NSE volume days	3 Jun (1.88 lakh), 15 Jun (1.45 lakh), 31 Jul (1.33 lakh), 16 Jul (1.18 lakh), 5 Jun (0.96 lakh)

Source: stockanalysis.com NSE/BSE history pages, MarketsMojo, Screener; our calculation. BSE volume is far smaller than NSE and is excluded from volume statistics. The BSE closes used for 4–19 Aug differ from NSE closes by a fraction of a percent.



Source: price pages above; our calculation. 52-week high ₹2,674.80 per Screener/INDmoney

Figure 24: Drawdown inside the window.



Source: price pages above (62 sessions, 22 May–19 Aug 2026); our calculation

Figure 25: Distribution of daily returns.

What happened after the result: shares fell about 9–11% on 13 Aug although consolidated PAT rose 12.9% (Business Upturn, 13 Aug; BSE data: −8.9% close-to-close). MarketsMojo attributes the later slide to technicals (below all key moving averages), flat June-quarter profit, a low half-year debtor-turnover ratio of 7.21x and a 0.94% fall in institutional holding; it set a 52-week low of ₹1,715.25 on 13 Oct and the stock then rebounded 10% in the week to 16 Oct (₹1,925) before falling about 5% on 19 Oct to ₹1,824. We do not have a company-specific cause for the October moves; the sources attribute them to sector and market weakness.

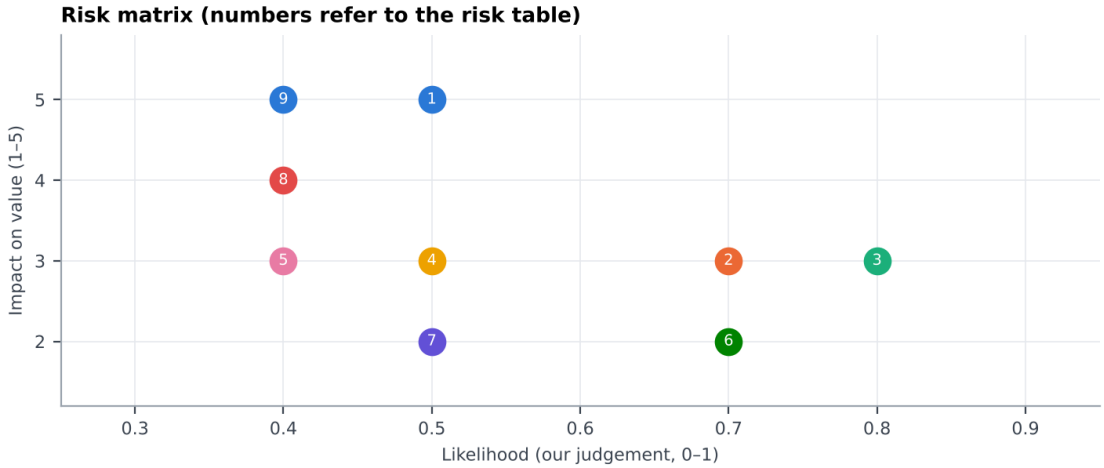
Liquidity and free float

At the window-average NSE volume of about 49,351 shares and a price near ₹2,290, daily NSE turnover was roughly ₹11 crore (our estimate), small relative to the ₹4,786 crore market cap. Free float is about 11.97 million shares (45%; stockanalysis.com). A position of ₹2 lakh is easily liquid; large institutional positions would not be. Beta: 0.49 (5-year, stockanalysis.com, 4 Sep 2026); 1-year and 3-year betas are Not available / unverified (no Trendlyne report in the folder).

#	Risk	Evidence	Impact (1–5)	Likelihood
1	Customer concentration (TVS+Honda 59%)	TVS 33.7% + Honda 25.2%; five customers 87%	5	0.5

#	Risk	Evidence	Impact (1–5)	Likelihood
2	Raw-material pass-through lag	Material ~61% of sales; recovered with ~2-quarter lag	3	0.7
3	Wage inflation (Haryana)	Haryana minimum wage +~35%; Q1 employee cost +30% YoY	3	0.8
4	Debtor days / receivables	Debtors +60% in FY26; 50 days	3	0.5
5	Promoter selling	4.45% sold Sep 2025; 66.6% → 54.5%	3	0.4
6	4W ramp delay	Revenue target slipped ~2 quarters; 2.5% of revenue	2	0.7
7	Insurance claim settlement	₹82.3 crore claim vs ₹48.7 crore booked (Unit 8)	2	0.5
8	EV / tech transition	EV share >9% of 2W volumes; LED share flat at 63% for 7 quarters	4	0.4
9	Two-wheeler demand cycle	Record Q1 volumes (7.25 million) but cyclical	5	0.4

Impact and likelihood are our judgement. Other risks named by management: global trade and tariff tensions, supply-chain disruption, rising input costs, a weaker rupee. Debt maturity risk is negligible (no financial debt).



Source: our judgement; placement is qualitative and not statistically derived

Figure 26: Risk matrix.

Key takeaways: Volatility ~36% annualised; the stock is 32% off its high after an 8.9% one-day fall. • Concentration, wage/material inflation and promoter selling top the risk list.

14 Scorecard (16 metrics)

Each metric carries an equal weight of 6.25 points (total 100). Pass = full points, fail = zero. Thresholds are our assumptions, except that promoter holding above 40% and nil pledge are the preferences we stated at the outset.

#	Metric	Value	Threshold	Result	Points
1	Promoter holding ≥ 40%	54.5%	≥ 40%	PASS	6.25
2	Promoter pledge = nil	0.0%	nil	PASS	6.25
3	Promoter stake not cut > 5 pp in 3 yrs	66.56% → 54.51% (−12.1 pp)	fall ≤ 5 pp	FAIL	0.00
4	Sales CAGR (5y) ≥ 12%	18.2%	≥ 12%	PASS	6.25
5	PAT CAGR (3y) ≥ 12%	22.3%	≥ 12%	PASS	6.25
6	EBITDA margin (FY26) ≥ 12%	14.1%	≥ 12%	PASS	6.25
7	ROCE (FY26) ≥ 15%	29.3%	≥ 15%	PASS	6.25
8	ROE (FY26) ≥ 15%	22.6%	≥ 15%	PASS	6.25
9	Debt / equity ≤ 0.5	0.05	≤ 0.5	PASS	6.25
10	Interest cover ≥ 5x	123x	≥ 5x	PASS	6.25
11	CFO / PAT (5y cumulative) ≥ 0.8	0.87	≥ 0.8	PASS	6.25
12	Debtor days (FY26) ≤ 45	50 days	≤ 45	FAIL	0.00
13	FCF yield (FY26, est.) ≥ 2%	0.9%	≥ 2%	FAIL	0.00
14	P/E (trailing) ≤ 25x	18.2x	≤ 25x	PASS	6.25
15	6-month price return ≥ 0%	-19.8%	≥ 0%	FAIL	0.00
16	Latest-quarter sales growth ≥ 10% YoY	18.6%	≥ 10%	PASS	6.25

#	Metric	Value	Threshold	Result	Points
	Total			**12/16 pass**	**75.00**

Source: Screener export and screenshots, Q1 FY27 filing; our calculation. FCF yield uses our estimated FCF (₹43.5 crore) over market cap ₹4,786 crore. The 6-month return (−19.8%) is from the Screener metrics screenshot.

Score 75/100: strong on returns, balance sheet and growth; failures are the promoter stake reduction, debtor days, free-cash-flow yield and share-price momentum. Four of the 16 thresholds (debtor days, FCF yield, momentum, promoter stake) are the ones that most clearly mirror the risks in section 13.

15 Portfolio fit

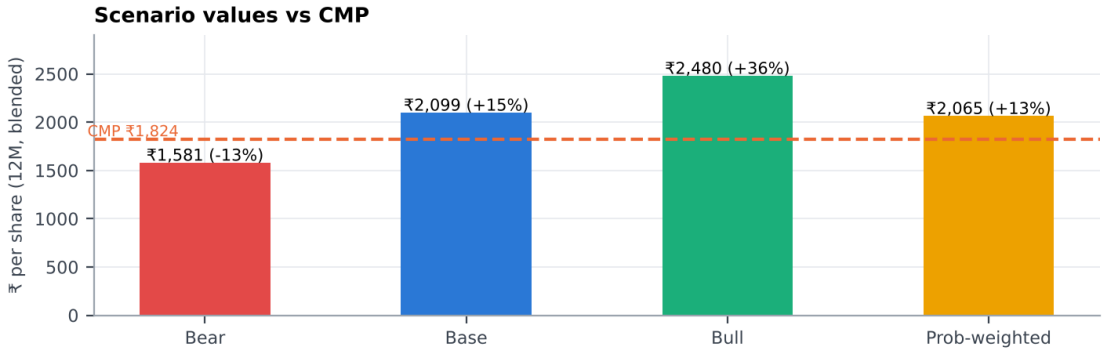
No purchase of Fiem has been recorded yet: quantity and date have not been given, so there is no cost basis, no P&L since buy and no portfolio weight. The position will be added to the ledger once a buy is recorded (funded by a deposit, per the standing rule).

Item	Indicative figure	Basis
Virtual portfolio capital	₹1 crore	portfolio setting
Illustrative 2% position	₹2.0 lakh = about 109 shares at ₹1,824	our illustration, not a recommendation
Illustrative 3% position	₹3.0 lakh = about 164 shares	same
Sector overlap	Portfolio holds auto OEMs (Maruti Suzuki, Ashok Leyland); Fiem supplies two-wheeler OEMs	config.json of the tracker
Correlation / alpha vs Nifty	Not available / unverified	no Nifty series retrieved
Liquidity	~₹11 crore a day on NSE (est.)	section 13

Fit (our view): Fiem adds a small-cap, debt-free, two-wheeler-exposed name to a portfolio that already owns car and commercial-vehicle makers; the auto cycle is the shared risk, but the end-markets differ (two-wheelers vs cars vs trucks). Given 36% volatility and low liquidity, a position at the lower end (about 2%) with staggered entry is consistent with an Accumulate view.

16 Catalysts, scenarios and monitoring

Scenario	Probability (our judgement)	Key assumptions	Blended 12M value	vs CMP
Bull	25%	FY27E growth 19.5%, margin 14.8% from FY28	₹2,480	+36%
Base	50%	Growth 16.5% then 14/12/11/10%; margin 14%	₹2,099	+15%
Bear	25%	FY27E growth 14% then 8%, margin 12.5%	₹1,581	-13%
Probability-weighted			**₹2,065**	**+13%**



Source: our model; probabilities 25/50/25 are our judgement

Figure 27: Scenario values vs CMP.

Catalysts (dates not confirmed unless stated)

- Q2 FY27 results: expected around mid-November 2026 (the Q2 FY26 call was on 13 Nov 2025; the Q2 FY27 date is not confirmed in our sources).
- Margin recovery as raw-material cost increases are passed through (management: over the next few quarters).
- Hero Vida supply from Hosur starting next quarter; further EV platform wins.
- Insurance settlement for Unit 8 (claim ₹82.3 crore) and Unit 7 final entries.
- Four-wheeler orders (Mahindra, Force Motors) and any Mercedes-Benz RFQ (not expected for 1.5–2 years).
- December 2026 shareholding pattern (promoter and institutional changes).

Monitoring plan

Indicator	Today	Alert level	Why
EBITDA margin (quarterly, revenue basis)	13.4%	< 13% for two quarters	Pass-through and wages
Debtor days (annual) / receivables	50	> 55	Cash conversion
Promoter holding	54.51%	any further fall	Governance
TVS + Honda share of auto sales	59%	> 62% or a platform loss	Concentration
Quarterly sales growth YoY	+17.7%	< 10%	Guidance 15–20%
Free cash flow	₹44 crore (est.)	negative	Dividend cover

17 Appendix

A. Financial statements (consolidated, ₹ crore)

₹ crore	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
Sales	1,014.6	1,239.7	1,449.0	1,379.4	1,221.2	1,572.3	1,848.1	2,028.8	2,422.6	2,815.6
Raw material	607.3	762.6	905.5	816.2	742.1	984.6	1,127.5	1,249.3	1,508.3	1,714.3
Change in inventory	20.4	22.9	4.9	-23.9	-12.5	-1.5	-3.9	6.6	5.8	4.8
Power & fuel	41.6	47.3	53.1	49.7	39.2	45.3	53.6	61.6	65.2	70.3
Other mfg expenses	71.6	78.2	77.8	72.9	61.3	76.7	73.9	75.7	85.6	104.2
Employee cost	145.9	177.1	196.5	198.5	165.9	207.6	241.1	290.8	335.0	394.1
Selling & admin	49.2	54.6	61.6	59.3	51.7	59.8	89.5	86.3	110.8	132.0
Other expenses	1.9	2.0	2.5	1.9	14.8	2.8	9.9	3.0	1.3	9.5
EBITDA (operating profit)	117.6	140.8	157.0	156.9	133.8	194.0	248.6	268.7	322.2	395.9
Other income	-9.5	7.9	1.0	0.8	0.0	2.6	10.8	16.0	19.9	20.8
Depreciation	39.2	44.3	48.9	53.2	57.2	59.0	63.4	58.6	64.3	72.5
Interest	23.2	22.7	22.1	17.7	11.6	8.6	7.4	2.9	1.5	2.8
PBT	45.6	81.6	87.0	86.9	65.0	129.0	188.6	223.1	276.3	341.4
Tax	12.6	29.0	30.4	8.2	18.0	33.7	48.7	57.2	71.3	85.8
Net profit	33.0	52.6	55.6	74.6	46.7	94.2	139.8	165.7	204.9	255.6
EPS (₹)	12.57	19.98	21.16	28.35	17.75	35.80	53.17	63.01	77.92	97.18

Profit & loss. Source: Screener.in export. Operating profit = sales − (raw material − change in inventory... as presented by Screener); lines reconcile to Screener totals. EPS is bonus-adjusted.

₹ crore	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
Equity capital	13.2	13.2	13.2	13.2	13.2	13.2	13.2	26.3	26.3	26.3
Reserves	397.0	436.2	464.0	512.2	556.2	629.1	748.0	860.6	1,011.9	1,188.7
Borrowings	225.2	158.7	171.4	126.5	77.3	45.7	23.8	23.1	22.1	65.5
Other liabilities	234.2	327.4	314.2	268.6	275.6	360.6	268.0	308.4	363.5	420.0
Total liabilities	869.5	935.4	962.8	920.5	922.2	1,048.5	1,053.0	1,218.5	1,423.8	1,700.5
Net block	479.2	553.8	564.3	590.6	547.3	507.9	493.6	495.8	553.4	604.0
CWIP	5.6	6.9	11.5	0.2	2.7	0.7	5.3	5.3	20.3	14.9
Investments	86.4	19.4	25.4	21.2	21.0	76.8	0.2	0.1	0.1	0.1
Other assets	298.3	355.2	361.6	308.4	351.2	463.1	553.8	717.2	850.1	1,081.6
of which receivables	119.5	144.3	146.8	77.0	80.9	174.6	140.8	193.7	242.3	387.5
of which inventory	102.4	140.3	147.2	129.1	117.0	184.7	175.7	204.4	233.5	266.8
of which cash & bank	23.1	2.2	4.5	47.5	110.5	68.4	183.1	206.1	298.4	279.6

Balance sheet. Source: Screener.in export, March year-ends.

₹ crore	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
Cash from operations	45.6	124.7	121.0	207.3	135.9	92.2	130.9	134.9	233.1	161.3
Cash from investing	-197.6	-44.3	-80.5	-46.5	-15.4	-73.7	38.8	-68.7	-85.6	-96.0
Cash from financing	173.2	-101.5	-38.1	-118.1	-57.1	-60.6	-55.0	-43.1	-55.2	-84.2
Net cash flow	21.2	-21.2	2.4	42.7	63.4	-42.1	114.7	23.0	92.3	-18.9
Dividend amount	10.5	11.8	15.8	17.1	21.1	26.3	39.5	52.6	79.0	105.3
Price at FY end (₹)	482	437	255	127	278	450	783	1,133	1,408	1,911

Cash flow and market price. Source: Screener.in export.

A2. Q1 FY27 standalone results as filed (₹ crore; filing is in ₹ lakh)

₹ crore	Q1 FY27	Q4 FY26	Q1 FY26	FY26	YoY %	QoQ %
Net sales	769.90	744.35	649.07	2,790.65	18.6	3.4
Other operating income	5.48	6.63	9.26	23.45	-40.8	-17.2
Revenue from operations	775.38	750.98	658.32	2,814.11	17.8	3.2
Other income	4.81	4.44	5.86	20.79	-18.0	8.3
Cost of materials consumed	496.02	452.00	404.21	1,708.94	22.7	9.7
Purchases of stock-in-trade	1.68	1.43	1.19	5.25	41.6	18.1
Change in inventories	-19.49	2.98	-3.75	-4.77	419.0	-754.3
Employee benefits expense	114.90	100.17	88.35	385.46	30.1	14.7
Finance costs	1.11	1.67	0.37	2.79	200.2	-33.6
Depreciation	19.18	17.72	17.10	72.06	12.1	8.2
Other expenses	78.20	85.23	80.97	325.88	-3.4	-8.2
Total expenses	691.61	661.20	588.44	2,495.61	17.5	4.6
Profit before tax	88.58	94.22	75.75	339.28	16.9	-6.0
Tax expense	23.39	23.63	19.69	85.40	18.8	-1.0
Net profit	65.19	70.59	56.05	253.88	16.3	-7.7
EPS (₹, not annualised)	24.77	26.82	21.30	96.46	16.3	-7.6

Source: Q1 FY27 standalone unaudited results (board meeting 12 Aug 2026); YoY and QoQ are our calculation. Inventory-change YoY/QoQ are not meaningful (sign changes). Q1 FY26 and Q4 FY26 shown as reported in the same filing.

Segment capital employed (₹ crore)	30 Jun 26	31 Mar 26	30 Jun 25	YoY
Automotive	1,000.65	937.61	766.44	30.6%
Others	8.07	7.65	7.60	6.2%
Unallocable (assets less liabilities)	265.84	264.23	317.01	-16.1%
Total capital employed	**1,274.56**	**1,209.49**	**1,091.06**	**16.8%**

Source: filing, segment note (assets less liabilities). Automotive capital employed grew 30.6% YoY against automotive revenue growth of 17.9%: capital is being added faster than sales (capex at Hosur and Tapukara, higher receivables). Annualised automotive segment result (before interest and unallocated items) on year-end segment capital employed was about 39% in Q1 FY27 against about 43% a year earlier: still high, but lower. This is a simple calculation by us on period-end capital, not a company ratio.

B. Data gaps – "Not available / unverified"

Item	Why unavailable	What would close it
Annual report items: related-party transactions, remuneration, board independence, auditor tenure/KAMs/CARO, contingent liabilities, accounting-policy changes	No annual report in the Drive folder	FY26 and FY25 annual reports
Capacity, utilisation, per-unit economics, customer contract terms	Not in the filing or the Excel export	Investor presentation; annual report
Payables days and cash-conversion cycle	Export lumps payables into other liabilities	Annual report notes
Concall transcripts (we used secondary summaries)	No transcripts supplied	Last 4 concall transcripts
Industry size and Fiem market share	No citable source found	Industry report
Daily prices 20 Aug–5 Oct 2026; 1-, 3-, 5-year price history	Price pages retrieved were cached snapshots ending in August; six-month window chosen by the user	A fresh price CSV (NSE) or browser export
Beta (1y/3y), alpha, correlation, VaR, price vs Nifty	No Trendlyne report or Nifty series; only the 5Y beta from stockanalysis.com	Same-day Trendlyne report; Nifty daily closes
Consensus estimates and analyst targets	INDmoney shows an unnamed "100% buy" with no targets	Trendlyne consensus page
Credit rating, BRSR	Not supplied	Rating report; BRSR
Promoter sale price, buyers, mechanism of the 2024 drop	Not stated in sources read	Exchange disclosures (Reg 29 / bulk-block data)
Same-day peer multiples (P/E, growth, margins)	Screener screenshot has only CMP, market cap, D/E, debt and ROCE; peers pages cached on different dates	Full Screener peer table export

C. Methodology

- DCF: 15-year FCFF (EBITDA − tax on EBIT − capex − change in operating working capital), mid-year discounting at WACC, Gordon terminal value, plus net cash, divided by 2.632 crore shares. 12-month value = value × (1 + cost of equity) − ₹40 expected dividend.
- P/E leg: 18x FY28E EPS (base). Blend = 50:50 of DCF 12-month value and P/E leg. Target = base blend rounded to the nearest ₹5.
- Scenario probabilities (25/50/25) are our judgement. Scorecard thresholds are our assumptions. Rating scale: Accumulate +10% to +20% upside; Hold −10% to +10%; Avoid below −10%.
- Ratios: ROE on average equity; ROCE = (PBT + interest)/average (equity + borrowings); debtor days = year-end receivables/sales × 365; accruals = (PAT − CFO)/total assets; capex estimate = Δnet block + ΔCWIP + depreciation.
- Price statistics use 62 daily sessions (NSE 22 May–3 Aug, BSE 4–19 Aug) with sample standard deviation × √250.

D. Source list (data as of dates shown; all read in this session)

Source	Used for
Drive folder "FIEM INDUSTRIES LTD RESEARCH RESOURCES"	Q1 FY27 results filing (12 Aug 2026); Fiem Industries.xlsx (Screener export, price 19 Oct 2026); key-metrics, shareholding and peer screenshots
stockanalysis.com	NSE:FIEMIND statistics (4 Sep 2026), company, financials, balance sheet, overview (14 Aug 2026), NSE history (snapshot to 3 Aug), BSE 532768 history (snapshot to 19 Aug); statistics for UNOMINDA (14 Oct), LUMAXIND (6 Aug), VARROC (8 Sep)
Multibagg.ai	FY26 results article; Q1 FY27 article (customer, product mix, guidance)
TradeBrains	Fiem / Mercedes article (four-wheeler, revenue mix, guidance)
Yahoo Finance / GuruFocus	Q1 FY27 earnings-call highlights
ScanX; FilingReader	Promoter stake sale, Sept 2025
Business Upturn	Share-price move on 13 Aug 2026
MarketsMojo	Articles of 1, 5, 8, 12–16 Oct and week ending 9 Oct 2026 (prices, technicals)
INDmoney	Price/returns/shareholding, 19 Oct 2026
TradingEconomics	India 10-year yield, 28 Sep and 13–19 Oct 2026
Damodaran (NYU Stern)	Country risk premium table, Jan 2026

Secondary sources (Multibagg, TradeBrains, GuruFocus, MarketsMojo, ScanX) summarise company disclosures; we could not open the primary presentations. Where two sources differ slightly (for example Q1 sales ₹769.9 crore standalone vs ₹775.4 crore consolidated Screener) we state which basis is used.

E. Quality check (run before delivery)

Check	Target	Result
Pages	30–40	26 pages. Shortfall of 4 pages versus target: the folder holds no annual report, concall transcript or presentation, so sections on governance, industry and capacity are thin or marked unverified. We did not pad.
Charts	15–25	27 (above target; all with sources)
Tables	10+	38
Every number traces to a source and date	yes	Yes; estimates labelled "our estimate/judgement". Sources are screenshots/filing in Drive or web pages listed above.
Totals and ratios recompute	yes	Ratios computed in code from stated inputs; P&L lines reconcile to Screener totals; Q1 filing figures converted from ₹ lakh.
Unverified items as facts	none	Listed in Appendix B only
Bear case and red-flag table	present	Sections 9, 12, 13, 16
Business model explained early	yes	Section 3, directly after the summary
Peer table complete with as-of date	partial	Screener peer table has only six columns; lighting-peer multiples are on different dates (flagged)
Units consistent	yes	₹ crore, %, x; per-share in ₹
Placeholder text	none	

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